



MINDTECK SINGAPORE PTE LTD

Co. Reg No.: 199904845D

(Incorporated in the Republic of Singapore)

FINANCIAL STATEMENTS

For the financial year ended 31 March 2022



Kudos CAS Public Accounting Corporation

Public Accountants and Chartered Accountants

MINDTECK SINGAPORE PTE LTD

Co Reg No.: 199904845D

(Incorporated in the Republic of Singapore)

GENERAL INFORMATION*For the financial year ended 31 March 2022*

Directors

Jacob Pillay

Harish Aravindakshan Nair (Appointed on 19 November 2021)

Company Secretaries

Tan Ah Long

Ng Geok Lan

Registered Office

7B Keppel Road

#05-09 Tanjong Pagar Complex

Singapore 089055

Auditor

Kudos CAS Public Accounting Corporation

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MINDTECK SINGAPORE PTE LTD

Co Reg No.: 199904845D

(Incorporated in the Republic of Singapore)

DIRECTORS' STATEMENT

For the financial year ended 31 March 2022

The directors are pleased to present their statement to the member together with the audited financial statements of Mindteck Singapore Pte Ltd (the Company) for the financial year ended 31 March 2022.

Opinion of the directors

In the opinion of the directors,

- (i) the financial statements of the Company are drawn up so as to give a true and fair view of the financial position of the Company as at 31 March 2022 and the financial performance, changes in equity and cash flows of the Company for the year then ended; and
- (ii) at the date of this statement, on the basis that directors are of the opinion that the Covid-19 global pandemic will not have a significant impact on the operation and liquidity of the Company, there are reasonable grounds to believe that the Company will be able to pay its debts as and when they fall due.

Directors

The directors of the Company in office at the date of this statement are:

Jacob Pillay

Harish Aravindakshan Nair

Arrangements to enable directors to acquire shares or debentures

Neither at the end of nor at any time during the financial year was the Company a party to any arrangement whose objects are, or one of whose objects is, to enable the directors of the Company to acquire benefits by means of the acquisition of shares in, or debentures of, the Company or any other body corporate.

Directors' interests in shares or debentures

According to the register of directors' shareholdings kept by the Company under section 164 of the Singapore Companies Act, Chapter 50 (the Act), no director of the Company who held office at the end of the financial year had interests in the shares or debentures of the Company and its related corporations, either at the beginning of the financial year, or date of appointment if later, or at the end of the financial year.

Share options

There were no share options granted during the financial year to subscribe for unissued shares of the Company.

There were no shares issued during the financial year by virtue of the exercise of options to take up unissued shares of the Company.

There were no unissued shares of the Company under option at the end of the financial year.

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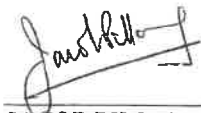
DIRECTORS' STATEMENT

For the financial year ended 31 March 2022

Auditor

Kudos CAS Public Accounting Corporation has expressed its willingness to accept re-appointment as auditor.

The Directors,



JACOB PILLAY
Director



HARISH ARAVINDAKSHAN NAIR
Director

Singapore

Date: • 1 JUL 2022

**INDEPENDENT AUDITOR'S REPORT TO THE MEMBER OF
MINDTECK SINGAPORE PTE LTD
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2022**
Co Reg No.: 199904845D

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of **Mindteck Singapore Pte Ltd** (the Company), which comprise the statement of financial position as at 31 March 2022, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements are properly drawn up in accordance with the provisions of the Companies Act, Chapter 50 (the Act) and Financial Reporting Standards in Singapore (FRSs) so as to give a true and fair view of the financial position of the Company as at 31 March 2022 and of the financial performance, changes in equity and cash flows of the Company for the year ended on that date.

Basis for Opinion

We conducted our audit in accordance with Singapore Standards on Auditing (SSAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Accounting and Corporate Regulatory Authority (ACRA) Code of Professional Conduct and Ethics for Public Accountants and Accounting Entities (ACRA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Singapore, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ACRA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other Information

Management is responsible for the other information. The other information comprises the Directors' statement.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

**INDEPENDENT AUDITOR'S REPORT TO THE MEMBER OF
MINDTECK SINGAPORE PTE LTD
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2022**
Co Reg No.: 199904845D

Responsibilities of Management and Directors for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with the provisions of the Act and FRSSs, and for devising and maintaining a system of internal accounting controls sufficient to provide a reasonable assurance that assets are safeguarded against loss from unauthorised use or disposition; and transactions are properly authorised and that they are recorded as necessary to permit the preparation of true and fair financial statements and to maintain accountability of assets.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The directors' responsibilities include overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SSAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.



Kudos CAS Public Accounting Corporation
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**INDEPENDENT AUDITOR'S REPORT TO THE MEMBER OF
MINDTECK SINGAPORE PTE LTD
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2022**
Co Reg No.: 199904845D

Auditor's Responsibilities for the Audit of the Financial Statements (continued)

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on Other Legal and Regulatory Requirements

In our opinion, the accounting and other records required by the Act to be kept by the Company have been properly kept in accordance with the provisions of the Act.

KUDOS CAS PUBLIC ACCOUNTING CORPORATION
Public Accountants and
Chartered Accountants

Singapore

Date: **1 JUL 2022**

MINDTECK SINGAPORE PTE LTD

Co Reg No.: 199904845D

(Incorporated in the Republic of Singapore)

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME*For the financial year ended 31 March 2022*

	Note	2022 S\$	2021 S\$
Revenue	4	4,571,013	4,738,630
Cost of services	6	(3,861,174)	(3,959,313)
Gross profit		709,839	779,317
Other income	5	134,001	168,918
Expenses:-			
- Administrative expenses		(621,811)	(757,810)
- Other operating expenses		(22,663)	(560,260)
Profit/(loss) before tax	7	199,366	(369,835)
Income tax expense	9(a)	(21,534)	(20,336)
Profit/(loss) for the year, representing total comprehensive income/(losses) for the year		177,832	(390,171)

The accompanying accounting policies and explanatory notes form an integral part of the financial statements.

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STATEMENT OF FINANCIAL POSITION*As at 31 March 2022*

	Note	2022 S\$	2021 S\$
ASSETS			
Non-current assets			
Goodwill	10	-	-
Plant and equipment	11	3,210	968
Right-of-use assets	12	10,823	32,468
		14,033	33,436
Current assets			
Trade and other receivables	13	1,039,352	1,189,946
Prepayments		12,109	12,507
Amount due from related parties	16	131,340	259,742
Cash and cash equivalents	14	1,426,482	956,445
		2,609,283	2,418,640
TOTAL ASSETS		2,623,316	2,452,076
LIABILITIES			
Current liabilities			
Other payables and accruals	15	541,547	503,368
Amount due to related parties	16	165,352	209,192
Gross amount due to customers for contract work-in-progress	17	5,219	-
Lease liability	18	11,252	21,638
Provision for taxation	9(b)	22,880	7,392
		746,250	741,590
NET CURRENT ASSETS		1,863,033	1,677,050
Non-current liability			
Lease liability	18	-	11,252
		-	11,252
TOTAL LIABILITIES		746,250	752,842
NET ASSETS		1,877,066	1,699,234
EQUITY			
Capital and reserves attributable to Equity holders of the Company			
Share capital	19	1,310,500	1,310,500
Retained earnings		566,566	388,734
TOTAL EQUITY		1,877,066	1,699,234

The accompanying accounting policies and explanatory notes form an integral part of the financial statements.

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STATEMENT OF CHANGES IN EQUITY*For the financial year ended 31 March 2022*

	<u>Share capital</u> S\$	<u>Retained earnings</u> S\$	<u>Total</u> S\$
2022			
Beginning of financial year	1,310,500	388,734	1,699,234
Profit for the year, representing total comprehensive income for the year	-	177,832	177,832
End of financial year	1,310,500	566,566	1,877,066
2021			
Beginning of financial year	1,310,500	778,905	2,089,405
Loss for the year, representing total comprehensive losses for the year	-	(390,171)	(390,171)
End of financial year	1,310,500	388,734	1,699,234

The accompanying accounting policies and explanatory notes form an integral part of the financial statements.

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STATEMENT OF CASH FLOWS*For the financial year ended 31 March 2022*

	Note	2022 S\$	2021 S\$
Cash flows from operating activities			
Profit/(loss) before income tax		199,366	(369,835)
Adjustments for:			
Depreciation of plant and equipment	11	1,018	3,217
Amortization of right-of-use assets	12	21,645	22,460
Interest expense on lease liability		1,212	1,209
Impairment loss on goodwill	10	-	534,583
Operating cash flow before working capital changes		223,241	191,634
Change in working capital:			
Trade and other receivables		150,594	20,252
Prepayments		398	51,474
Amount due from related parties		-	(32,582)
Other payables and accruals		38,179	1,461
Amount due to related parties		(53,503)	73,834
Gross amount due to customers for contract work-in-progress		5,219	(18,422)
Cash generated from operations		364,128	287,651
Income tax paid		(6,046)	(22,188)
Net cash generated from operating activities		358,082	265,463
Cash flows from investing activity			
Purchase of plant and equipment		(3,260)	-
Net cash used in investing activity		(3,260)	-
Cash flows from financing activities			
Amount due from related parties		128,402	-
Amount due to related parties		9,663	-
Repayment of lease liability	18	(22,850)	(23,708)
Net cash generated from/(used in) financing activities		115,215	(23,708)
Net changes in cash and cash equivalents		470,037	241,755
Cash and cash equivalents at beginning of the financial year		956,445	714,690
Cash and cash equivalents at end of the financial year	14	1,426,482	956,445

The accompanying accounting policies and explanatory notes form an integral part of the financial statements.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2022*

These notes form an integral part of and should be read in conjunction with the accompanying financial statements.

1. Corporate information

Mindteck Singapore Pte Ltd (the Company) is a limited liability company incorporated and domiciled in Singapore. The immediate and ultimate holding company is Mindteck (India) Limited, a company domiciled and incorporated in India.

The registered office and principal place of business is located at 7B Keppel Road #05-09, Tanjong Pagar Complex, Singapore 089055.

The principal activities of the Company are those of software development and consultancy services and the provision of contract information technology professionals.

These financial statements are separate financial statements of the Company. The Company is exempted from the preparation of consolidated financial statements as the Company is a wholly-owned subsidiary of Mindteck (India) Limited, a company incorporated in India, which prepares the consolidated financial statements and has its registered office at, A.M.R. Tech Park, Block 1, 3rd Floor, No. 664, 23/24, Hosur Main Road, Bommanahalli Bangalore, Karnataka 560068, India. The consolidated financial statements are obtainable at the registered office.

2. Summary of significant accounting policies**2.1 Basis of preparation**

The financial statements of the Company have been drawn up in accordance with the Financial Reporting Standards in Singapore (FRSs).

The financial statements have been prepared on the historical cost basis except as disclosed in the accounting policies below.

The financial statements are presented in Singapore Dollars ("SGD" or "S\$"), which is the Company's functional currency.

2.2 Adoption of new and amended standards and interpretations

The accounting policies adopted are consistent with those of the previous financial year except that in the current financial year, the Company has adopted all the new and amended standards which are relevant to the Company and are effective for annual financial periods beginning on or after 1 April 2021. The adoption of these standards did not have any material effect on the financial performance or position of the Company.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2022***2. Summary of significant accounting policies (continued)****2.3 Standards issued but not yet effective**

The Company has not adopted the following standards applicable to the Company that have been issued but not yet effective:

Description	Effective for annual periods beginning on or after
Annual Improvements to FRSs 2018-2020	1 January 2022
Amendments to FRS 1 Presentation of Financial Statements: Classification of Liabilities as Current or Non-current	1 January 2023
Amendments to FRS 1 Presentation of Financial Statements and FRS Practice Statement 2: Disclosure of Accounting Policies	1 January 2023

The directors expect that the adoption of the standards above will have no material impact on the financial statements in the year of initial application.

2.4 Foreign currency transactions and balances

Transactions in foreign currencies are measured in the functional currency of the Company and are recorded on initial recognition in the functional currency at exchange rates approximating those ruling at the transaction dates. Monetary assets and liabilities denominated in foreign currencies are translated at the rate of exchange ruling at the reporting date. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions.

Exchange differences arising on the settlement of monetary items or on translating monetary items at the end of the reporting period are recognised in profit or loss.

2.5 Revenue

Revenue is measured based on the consideration to which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2022*

2. Summary of significant accounting policies (continued)**2.5 Revenue (continued)**

Revenue is recognised when the Company satisfies a performance obligation by transferring a promised good or service to the customer, which is when the customer obtains control of the good or service. A performance obligation may be satisfied at a point in time or over time. The amount of revenue recognised is the amount allocated to the satisfied performance obligation.

a) Rendering of services

Revenue arising from the placement of temporary or contract term, is recognised at the point in time that temporary workers are provided. Where the Company is acting as a principal, turnover represents the amounts billed for the services of the temporary workers, including the remuneration costs of the temporary workers. The commission included within the revenue recognised arising from temporary placements is typically based on a percentage of the placements hourly rate.

2.6 Plant and equipment

All items of plant and equipment are initially recorded at cost. Subsequent to recognition, plant and equipment are measured at cost less accumulated depreciation and any accumulated impairment losses.

The cost of plant and equipment includes its purchase price and any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management. Dismantlement, removal or restoration costs are included as part of the cost of plant and equipment if the obligation for dismantlement, removal or restoration is incurred as a consequence of acquiring or using the plant and equipment.

Depreciation is calculated using the straight-line method to allocate depreciable amounts over their estimated useful lives. The estimated useful lives are as follows:

- Computer and software: 3 years
- Furniture and fittings: 5 years
- Office equipment: 5 years
- Office renovation: 2 years

The residual value, useful lives and depreciation method are reviewed at the end of each reporting period, and adjusted prospectively, if appropriate.

An item of plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss on derecognition of the asset is included in profit or loss in the year the asset is derecognised.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2022*

2. Summary of significant accounting policies (continued)**2.7 Intangible assets**

Intangible assets acquired separately are measured initially at cost. Following initial acquisition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses. Internally generated intangible assets, excluding capitalised development costs, are not capitalised and expenditure is reflected in profit or loss in the year in which the expenditure is incurred.

The useful lives of intangible assets are assessed as either finite or indefinite.

Intangible assets with finite useful lives are amortised over the estimated useful lives and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method are reviewed at least at each financial year-end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate, and are treated as changes in accounting estimates.

Intangible assets with indefinite useful lives or not yet available for use are tested for impairment annually, or more frequently if the events and circumstances indicate that the carrying value may be impaired either individually or at the cash-generating unit level. Such intangible assets are not amortised. The useful life of an intangible asset with an indefinite useful life is reviewed annually to determine whether the useful life assessment continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

Gains or losses arising from de-recognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in profit or loss when the asset is derecognised.

2.8 Impairment of non-financial assets

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, (or, where applicable, when an annual impairment testing for an asset is required), the Company makes an estimate of the asset's recoverable amount.

An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs of disposal and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset or cash-generating unit exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

Impairment losses are recognised in profit or loss.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2022*

2. Summary of significant accounting policies (continued)**2.8 Impairment of non-financial assets (continued)**

A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increase cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised previously. Such reversal is recognised in profit or loss.

2.9 Cash and cash equivalents

Cash and cash equivalents comprise cash at banks and on hand and demand deposits which are subject to an insignificant risk of changes in value.

2.10 Financial instruments**a) Financial assets****Initial recognition and measurement**

Financial assets are recognised when, and only when the entity becomes party to the contractual provisions of the instruments.

At initial recognition, the Company measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss (FVPL), transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at FVPL are expensed in profit or loss.

Trade receivables are measured at the amount of consideration to which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third party, if the trade receivables do not contain a significant financing component at initial recognition.

Subsequent measurement**Investment in debt instruments**

Subsequent measurement of debt instruments depends on the Company's business model for managing the asset and the contractual cash flow characteristics of the asset. The three measurement categories for classification of debts instruments are:

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2022*

2. Summary of significant accounting policies (continued)**2.10 Financial instruments (continued)****a) Financial assets (continued)***i) Amortised cost*

Financial assets that are held for the collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. Financial assets are measured at amortised cost using the effective interest method, less impairment. Gains and losses are recognised in profit or loss when the assets are derecognised or impaired, and through amortisation process.

ii) Fair value through other comprehensive income (FVOCI)

Financial assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at FVOCI. Financial assets measured at FVOCI are subsequently measured at fair value. Any gains or losses from changes in fair value of the financial assets are recognised in other comprehensive income, except for impairment losses, foreign exchange gains and losses and interest calculated using the effective interest method are recognised in profit or loss. The cumulative gain or loss previously recognised in other comprehensive income is reclassified from equity to profit or loss as a reclassification adjustment when the financial asset is de-recognised.

iii) Fair value through profit or loss (FVPL)

Assets that do not meet the criteria for amortised cost or FVOCI are measured at FVPL. A gain or loss on a debt instruments that is subsequently measured at FVPL and is not part of a hedging relationship is recognised in profit or loss in the period in which it arises.

Investments in equity instruments

On initial recognition of an investment in equity instrument that is not held for trading, the Company may irrevocably elect to present subsequent changes in fair value in other comprehensive income which will not be reclassified subsequently to profit or loss. Dividends from such investments are to be recognised in profit or loss when the Company's right to receive payments is established. For investments in equity instruments which the Company has not elected to present subsequent changes in fair value in other comprehensive income, changes in fair value are recognised in profit or loss.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2022*

2. Summary of significant accounting policies (continued)**2.10 Financial instruments (continued)****a) Financial assets (continued)****Derivatives**

Derivatives are initially recognised at fair value on the date a derivative contract is entered into and are subsequently remeasured to their fair value at the end of each reporting period. Changes in fair value of derivatives are recognised in profit or loss.

De-recognition

A financial asset is derecognised where the contractual right to receive cash flows from the asset has expired. On derecognition of a financial asset in its entirety, the difference between the carrying amount and the sum of the consideration received and any cumulative gain or loss that had been recognised in other comprehensive income for debt instruments is recognised in profit or loss.

b) Financial liabilities**Initial recognition and measurement**

Financial liabilities are recognised when, and only when, the Company becomes a party to the contractual provisions of the financial instrument. The Company determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognised initially at fair value plus in the case of financial liabilities not at FVPL, directly attributable transaction costs.

Subsequent measurement

After initial recognition, financial liabilities that are not carried at FVPL are subsequently measured at amortised cost using the effective interest method. Gains and losses are recognised in profit or loss when the liabilities are derecognised, and through the amortisation process.

De-recognition

A financial liability is de-recognised when the obligation under the liability is discharged or cancelled or expires. On derecognition, the difference between the carrying amounts and the consideration paid is recognised in profit or loss.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2022*

2. Summary of significant accounting policies (continued)**2.11 Impairment of financial assets**

The Company recognises an allowance for expected credit losses (ECLs) for all debt instruments not held at FVPL. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Company expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is recognised for credit losses expected over the remaining life of the exposure, irrespective of timing of the default (a lifetime ECL).

For trade receivables, the Company applies a simplified approach in calculating ECLs. Therefore, the Company does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. The Company has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment which could affect debtors' ability to pay.

For debt instruments at FVOCI, the Company applies the low credit risk simplification. At every reporting date, the Company evaluates whether the debt instrument is considered to have low credit risk using all reasonable and supportable information that is available without undue cost or effort. In making that evaluation, the Company reassesses the internal credit rating of the debt instrument. In addition, the Company considers that there has been a significant increase in credit risk when the contractual payments are more than 90 days past due.

The Company considers a financial asset in default when contractual payments are 90 days past due. However, in certain cases, the Company may also consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Company. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

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2. Summary of significant accounting policies (continued)**2.12 Provisions**

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and the amount of the obligation can be estimated reliably.

Provisions are reviewed at the end of each reporting period and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of economic resources will be required to settle the obligation, the provision is reversed. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

2.13 Consultancy contracts

The Company principally operates fixed price contracts. Contract revenue and contract costs are recognised as revenue and expenses respectively by reference to the stage of completion of the contract activity at the end of the reporting period (the percentage of completion method), when the outcome of a consultancy contract can be estimated reliably.

When the outcome of a consultancy contract cannot be estimated reliably (principally during early stages of a contract), contract revenue is recognised only to the extent of contract costs incurred that are likely to be recoverable and contract costs are recognised as expense in the period in which they are incurred.

An expected loss on the consultancy contract is recognised as an expense immediately when it is probable that total contract costs will exceed total contract revenue.

In applying the percentage of completion method, revenue recognised corresponds to the total contract revenue multiplied by the actual completion rate based on the proportion of total contract costs incurred to date and the estimated costs to complete.

2.14 Government grants

Government grants are recognized when there is reasonable assurance that the grant will be received and all attaching conditions will be complied with.

When the grant relates to an expense item, it is recognised as income on a systematic basis over the periods that the related costs, for which it is intended to compensate, are expensed.

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2. Summary of significant accounting policies (continued)**2.14 Government grants (continued)****a) Jobs Support Scheme**

The Jobs Support Scheme provides wage support to employers to help them retain their local employees during this period of economic uncertainty. Employers who have made CPF contributions for their local employees will qualify for the payouts under the scheme.

2.15 Leases

The Company assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

As lessee

The Company applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Company recognises lease liabilities representing the obligations to make lease payments and right-of-use assets representing the right to use the underlying leased assets.

Right-of-use assets

The Company recognises right-of-use assets at the commencement date of the lease (i.e. the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the assets.

If ownership of the leased asset transfers to the Company at the end of the lease term or the cost reflects the exercise of a purchase option, depreciation is calculated using the estimated useful life of the asset. The right-of-use assets are also subject to impairment. The accounting policy for impairment is disclosed in Note 2.8.

The Company's right-of-use assets are presented separately, right-of-use assets (Note 12).

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2. Summary of significant accounting policies (continued)**2.15 Leases (continued)****As lessee (continued)****Lease liabilities**

At the commencement date of the lease, the Company recognises lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Company and payments of penalties for terminating the lease, if the lease term reflects the Company exercising the option to terminate. Variable lease payments that do not depend on an index or a rate are recognised as expenses (unless they are incurred to produce inventories) in the period in which the event or condition that triggers the payment occurs.

In calculating the present value of lease payments, the Company uses its incremental borrowing rate at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the lease payments (e.g. changes to future payments resulting from a change in an index or rate used to determine such lease payments) or a change in the assessment of an option to purchase the underlying asset.

The Company's lease liabilities are presented within Note 18.

Short-term leases and leases of low-value assets

The Company applies the short-term lease recognition exemption to its short-term leases of machinery (i.e. those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). It also applies the lease of low-value assets recognition exemption to leases of office equipment that are considered to be low value. Lease payments on short-term leases and leases of low value assets are recognised as expense on a straight-line basis over the lease term.

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2. Summary of significant accounting policies (continued)**2.16 Employees benefits****a) Defined contribution plans**

The Company makes contributions to the Central Provident Fund scheme in Singapore, a defined contribution pension scheme. Contributions to defined contribution pension schemes are recognised as an expense in the period in which the related service is performed.

b) Employee leave entitlement

Employee entitlements to annual leave are recognised as a liability when they are accrued to the employees. The undiscounted liability for leave expected to be settled wholly before twelve months after the end of the reporting period is recognised for services rendered by employees up to the end of the reporting period. The liability for leave expected to be settled beyond twelve months from the end of the reporting period is determined using the projected unit credit method. The net total of service costs, net interest on the liability and remeasurement of the liability are recognised in profit or loss.

2.17 Taxes**a) Current income tax**

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authority. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at the reporting date.

Current income taxes are recognised in profit or loss except to the extent that the tax relates to items recognised outside profit or loss, either in other comprehensive income or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

b) Deferred tax

Deferred tax is provided using the liability method on temporary differences at the end of the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period.

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2. Summary of significant accounting policies (continued)**2.17 Taxes (continued)****b) Deferred tax (continued)**

Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off current income tax assets against current income tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

Deferred tax liabilities are recognised for all temporary differences, except:

- Where the deferred tax liability arises from the initial recognition of goodwill or of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and
- In respect of taxable temporary differences associated with interests in joint ventures, where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax assets are recognised for all deductible temporary differences, the carry forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilised except:

- Where the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and
- In respect of deductible temporary differences associated with interests in joint ventures, deferred tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are reassessed at the end of each reporting period and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

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2. Summary of significant accounting policies (continued)**2.18 Share capital**

Proceeds from issuance of ordinary shares are recognised as share capital in equity. Incremental costs directly attributable to the issuance of ordinary shares are deducted against share capital.

2.19 Contingencies

A contingent liability is:

- a) a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or
- b) a present obligation that arises from past events but is not recognised because:
 - (i) It is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
 - (ii) The amount of the obligation cannot be measured with sufficient reliability.

A contingent asset is a possible asset that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company.

3. Significant accounting judgements and estimates

The preparation of the Company's financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the disclosure of contingent liabilities at the end of each reporting period. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability affected in the future periods.

3.1 Judgments made in applying accounting policies**a) *Income taxes***

The Company has exposure to income taxes. Significant judgement is involved in determining the provision for income taxes. There are certain transactions and computations for which the ultimate tax determination is uncertain during the ordinary course of business. The Company recognises liabilities for expected tax issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recognised, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

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3. Significant accounting judgements and estimates (continued)**3.2 Key sources of estimation uncertainty**

The key assumptions concerning the future and other key sources of estimation uncertainty at the end of the reporting period are discussed below. The Company based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

a) Impairment of loans and receivables

The Company uses a provision matrix to calculate ECLs for trade receivables. The provision rates are based on days past due for groupings of various customer segments that have similar loss patterns.

The provision matrix is initially based on the Company's historical observed default rates. The Company will calibrate the matrix to adjust historical credit loss experience with forward-looking information. At every reporting date, historical default rates are updated and changes in the forward-looking estimates are analysed.

The assessment of the correlation between historical observed default rates, forecast economic conditions and ECLs is a significant estimate. The amount of ECLs is sensitive to changes in circumstances and of forecast economic conditions. The Company's historical credit loss experience and forecast of economic conditions may also not be representative of customer's actual default in the future. The information about the ECLs on the Company's trade receivables is disclosed in Note 23(a).

The carrying amount of trade receivables as at 31 March 2022 is disclosed in Note 13.

4. Revenue

	2022	2021
	S\$	S\$
Income from consultancy services	4,571,013	4,738,630

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	2022 S\$	2021 S\$
Jobs Support Scheme	-	149,498
Jobs Growth Incentive	86,061	-
Government grants	5,921	14,151
Allowance for doubtful debts written back	38,520	5,093
Payable written off	3,300	-
Others	199	176
	134,001	168,918

6. Cost of services

	2022 S\$	2021 S\$
Consultancy charges	889,658	828,520
Consultants' salaries and CPF	2,936,428	3,113,202
Project supplies	35,088	17,591
	3,861,174	3,959,313

7. Profit/(loss) before tax

The following items have been included in arriving at profit/(loss) before tax:

	2022 S\$	2021 S\$
Telephone expense	6,033	13,165
Depreciation of plant and equipment (Note 11)	1,018	3,217
Amortisation of right of use assets (Note 12)	21,645	22,460
Employee benefits (Note 8)	548,385	673,045
Impairment loss on goodwill (Note 10)	-	534,583
Loss on foreign exchange	39,054	24,705
Interest expense on lease liability (Note 18)	1,212	1,209
Office rental service charges	12,424	9,138

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2022***8. Employee benefits**

	2022 S\$	2021 S\$
Employees' salaries and bonuses	337,638	434,896
Employer's CPF on employees' salaries and bonuses	29,939	29,756
Director's remuneration	175,948	199,993
Employer's CPF on director's remuneration	4,860	8,400
	548,385	673,045

9. Income tax**(a) Income tax expense**

	2022 S\$	2021 S\$
Income tax expense comprise:		
- Current income tax	20,753	8,174
- Under provision in prior year	781	12,162
	21,534	20,336

A reconciliation between tax expense and the product of accounting profit/(loss) multiplied by the applicable corporate tax rate for the financial years ended 31 March 2022 and 2021 were as follows:

	2022 S\$	2021 S\$
Profit/(loss) before tax	199,366	(369,835)
Tax calculated at a tax rate of 17%	33,892	(62,872)
Effects of:		
- Expenses not deductible for tax purposes	4,874	105,483
- Tax effect on partial exemption and rebate	(17,425)	(9,023)
- Income not subject to tax	(34)	(25,414)
- Under provision in prior year	781	12,162
- Deferred tax liabilities not recognised	(554)	-
Tax charge	21,534	20,336

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2022***9. Income tax (continued)**

(b) Provision for taxation

	2022 S\$	2021 S\$
Balance at beginning of the year	7,392	9,244
Charge of the year	20,753	8,174
Under provision in prior year	781	12,162
Income tax paid	(6,046)	(22,188)
Balance at the end of the year	<u>22,880</u>	<u>7,392</u>

10. Goodwill

	2022 S\$	2021 S\$
At 1 April	-	534,583
Impairment loss on goodwill	-	(534,583)
At 31 March	<u>-</u>	<u>-</u>

Goodwill acquired through a business combination is allocated, at acquisition, to the cash generating units ("CGU") that are expected to benefit from the business combination.

Goodwill is not amortised but is reviewed for impairment annually.

The carrying amount of a CGU is established by allocating assets and liabilities to the identified CGU as below:

	2022 S\$	2021 S\$
Goodwill	-	534,583
Net assets and liabilities attributable to the CGU	-	575,404
Carrying amount of CGU	<u>-</u>	<u>1,109,987</u>

The recoverable amount of the CGU have been determined based on value in use calculations using cash flow projections from financial budgets approved by management covering a five-year period. Due to the Covid-19 global pandemic, the management has revised the cash flow projections downward, which significantly affect the recoverable amount of the CGU. The management assessed the recoverable amount to be less than its carrying value, and impairment of the goodwill is recognised in financial year 2021.

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Budgeted gross margins – Gross margins are based on average values achieved in the five years preceding the start of the budget period, consistent over the budgeted period.

Growth rates – The forecasted Nil% (2021: 2.00%) per annum terminal growth rates is between the Singapore's 20 years historical inflation rate of Nil% (2021: 1.48%) and GDP growth rate of Nil% (2021: 4.75%).

Discount rates – Discount rates of Nil% (2021: 13.19%) represent the current market assessment of the risks specific to each CGU, regarding the time value of money and individual risks of the underlying assets which have not been incorporated in the cash flow estimates. The discount rate calculation is based on the specific circumstances of the Company and its operating segments and derived from its weighted average cost of capital (WACC). The WACC takes into account both debt and equity.

The cost of equity is derived from the Modified Capital Assets Pricing Model ("CAPM") to estimate the cost of equity.

11. Plant and equipment

	Computer and software S\$	Furniture and fittings S\$	Office equipment S\$	Office renovation S\$	Total S\$
2022					
Cost					
At 01.04.2021	172,114	6,744	21,510	26,415	226,783
Additions	3,260	-	-	-	3,260
At 31.03.2022	175,374	6,744	21,510	26,415	230,043
Accumulated Depreciation					
At 01.04.2021	171,721	6,675	21,004	26,415	225,815
Depreciation charge	443	69	506	-	1,018
At 31.03.2022	172,164	6,744	21,510	26,415	226,833
Net Carrying Value					
At 31.03.2022	3,210	-	-	-	3,210

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2022***11. Plant and equipment (continued)**

	Computer and software S\$	Furniture and fittings S\$	Office equipment S\$	Office renovation S\$	Total S\$
2021					
Cost					
At 01.04.2020	172,114	6,744	21,510	26,415	226,783
Additions	-	-	-	-	-
At 31.03.2021	172,114	6,744	21,510	26,415	226,783
Accumulated Depreciation					
At 01.04.2020	170,745	6,581	18,857	26,415	222,598
Depreciation charge	976	94	2,147	-	3,217
At 31.03.2021	171,721	6,675	21,004	26,415	225,815
Net Carrying Value					
At 31.03.2021	393	69	506	-	968

12. Right-of-use assets

	Right-of-use asset S\$	Total S\$
2022		
Costs		
As at 1 April 2021	78,202	78,202
Write off	(34,911)	(34,911)
As at 31 March 2022	43,291	43,291
Accumulated amortisation		
As at 1 April 2021	45,734	45,734
Charge for the year	21,645	21,645
Write off	(34,911)	(34,911)
As at 31 March 2022	32,468	32,468
Net book value		
As at 31 March 2022	10,823	10,823

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2022***12. Right-of-use assets (continued)**

	Right-of-use asset S\$	Total S\$
2021		
<u>Costs</u>		
As at 1 April 2020	34,911	34,911
Additions	43,291	43,291
As at 31 March 2021	<u>78,202</u>	<u>78,202</u>
<u>Accumulated amortisation</u>		
As at 1 April 2020	23,274	23,274
Charge for the year	22,460	22,460
As at 31 March 2021	<u>45,734</u>	<u>45,734</u>
<u>Net book value</u>		
As at 31 March 2021	<u>32,468</u>	<u>32,468</u>

During the financial year 2021, the Company renegotiated and extended the lease term by another 2 years at revised lease payments. The corresponding remeasurement of the lease liability is presented under Lease Liability (Note 18).

13. Trade and other receivables

	2022 S\$	2021 S\$
Trade receivables - third parties	878,108	1,002,196
Less: Allowance for doubtful debts	-	(38,520)
	878,108	963,676
Other receivables	150,213	215,101
Deposits	11,031	11,169
	<u>1,039,352</u>	<u>1,189,946</u>

Trade receivables are non-interest bearing and are generally on 30 to 90 days' terms. They are recognised at their original invoice amounts which represent their fair values on initial recognition.

Receivables that are past due but not impaired:

The Company has trade receivables amounting to S\$71,645 (2021: S\$125,174) that are past due at the statement of financial position date but not impaired. These receivables are unsecured and the analysis of their aging at the statement of financial position date is as follows:-

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2022***13. Trade and other receivables (continued)**

	2022 S\$	2021 S\$
Trade receivables not past due:-		
Less than 30 days	806,463	838,502
Trade receivables past due:-		
1 – 30 days	71,645	125,174
Total	<u>878,108</u>	<u>963,676</u>

Receivables that are impaired:

The Company's trade receivables that are impaired at the statement of financial position date and the movement of the allowance accounts used to record the impairment are as follows:

	2022 S\$	2021 S\$
At 1 April	38,520	5,093
Allowance during the year	-	38,520
Allowance written back during the year	(38,520)	(5,093)
At 31 March	<u>-</u>	<u>38,520</u>

Trade receivables that are individually determined to be impaired at the statement of financial position date relate to receivables that are in significant financial difficulties and have defaulted on payments. These receivables are not secured by any collateral or credit enhancements.

Other receivables are unbilled revenue, GST receivable and others.

14. Cash and cash equivalents

	2022 S\$	2021 S\$
Cash at banks	1,426,286	955,389
Cash on hand	196	1,056
	<u>1,426,482</u>	<u>956,445</u>

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2022***15. Other payables and accruals**

	2022 S\$	2021 S\$
Other payables – third parties	151,513	53,134
GST payables	79,958	84,343
Accrued expenses	310,076	365,891
	<u>541,547</u>	<u>503,368</u>

The other payables and accruals are denominated in the following currencies:

	2022 S\$	2021 S\$
Singapore dollar	524,573	480,302
US dollar	16,974	23,066
	<u>541,547</u>	<u>503,368</u>

16. Amount due from/(to) related parties

	2022 S\$	2021 S\$
Amount due from related parties		
Non-trade	131,340	259,742
	<u>131,340</u>	<u>259,742</u>

Amount due from related parties are non-trade related, unsecured, non-interest bearing and repayable upon demand.

The amount due from related parties are denominated in the following currencies:

	2022 S\$	2021 S\$
Amount due from related parties		
Singapore dollar	28,144	103,009
US dollar	43,048	88,665
Euro dollar	60,148	68,068
	<u>131,340</u>	<u>259,742</u>

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2022***16. Amount due from/(to) related parties (continued)**

	2022	2021
	S\$	S\$
Amount due to related parties		
Trade	99,730	153,233
Non-trade	65,622	55,959
	165,352	209,192

Amount due to related parties are unsecured, non-interest bearing and repayable upon demand.

The amount due to related parties are denominated in the following currencies:

	2022	2021
	S\$	S\$
Amount due to related parties		
Singapore dollar	106,027	136,208
US dollar	45,094	55,959
Malaysia ringgit	14,231	17,025
	165,352	209,192

17. Gross amount due to customers for contract work-in-progress

	2022	2021
	S\$	S\$
Aggregate costs incurred	11,881	-
Attributable profit recognised	9,991	-
	21,872	-
Progressive billings	(27,091)	-
	5,219	-

The carrying amounts of the gross amount due to customers for contract work-in-progress are denominated in Singapore dollars.

18. Lease liability

The Company has lease contracts for its premises. The Company's obligations under the lease for the premises is secured by the lessor's title to the leased assets. The Company is restricted from assigning and subleasing the leased assets. The lease contracts include extension options.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2022***18. Lease liability (continued)**

	2022 S\$	2021 S\$
Lease liability – Current	11,252	21,638
Lease liability – Non Current	-	11,252
	<u>11,252</u>	<u>32,890</u>

(a) Amount recognised in profit or loss

	2022 S\$	2021 S\$
Interest expense on lease liability (Note 7)	1,212	1,209
Amortisation of right-of-use assets (Note 12)	21,645	22,460
Office rental (Note 7)	12,424	9,138
Total amount recognised in profit or loss	<u>35,281</u>	<u>32,807</u>

(b) Reconciliation of opening lease liability to closing lease liability

	2022 S\$	2021 S\$
Lease liability as at 1 April	32,890	12,098
Additions	-	43,291
Interest expense on lease liability	1,212	1,209
Repayment of lease liability	(22,850)	(23,708)
Lease liability as at 31 March	<u>11,252</u>	<u>32,890</u>

Lease liability was recognised based on the present value of the remaining lease payments, discounted using the incremental borrowing rate at the date of initial application.

The lease liability balance is denominated in Singapore dollars.

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	2022	2021
	S\$	S\$
Issued and fully paid:		
1,310,500 (2021: 1,310,500) ordinary shares	<u>1,310,500</u>	<u>1,310,500</u>

The holder of ordinary shares is entitled to receive dividends as and when declared by the Company. All ordinary shares carry one vote per share without restrictions. The ordinary shares have no par value.

20. Significant transactions with related parties**(a) Related parties transactions**

In addition to the related party information disclosed elsewhere in the financial statements, the following transactions with related parties took place at terms agreed between the parties during the financial year:

	2022	2021
	S\$	S\$
Fees paid or payable to the Company	417,662	502,645
Fees paid or payable to related parties	<u>(767,566)</u>	<u>(834,140)</u>

(b) Compensation of key management personnel

	2022	2021
	S\$	S\$
Director's remuneration	175,948	199,993
Director's CPF	4,860	8,400
	<u>180,808</u>	<u>208,393</u>

21. Capital management

Capital includes debt and equity items as disclosed in the table below.

The primary objective of the Company's capital management is to ensure that it maintains a strong credit rating and net current asset position in order to support its business and maximise shareholder value. The capital structure of the Company comprises issued share capital and retained earnings.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2022***21. Capital management (continued)**

The Company manages its capital structure and makes adjustments to it, in light of changes in economic conditions. To maintain or adjust the capital structure, the Company may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. The Company is not subject to any externally imposed capital requirements. No changes were made to the objectives, policies or processes during the financial years ended 31 March 2022 and 31 March 2021.

	2022	2021
	S\$	S\$
Other payables and accruals (Note 15)	541,547	503,368
Amount due to related parties (Note 16)	165,352	209,192
Gross amount due to customers for contract work-in-progress (Note 17)	5,219	-
Lease liability (Note 18)	11,252	32,890
Less: Cash and cash equivalents (Note 14)	(1,426,482)	(956,445)
Net debt	(703,112)	(210,995)
Equity attributable to owners of the company	1,877,066	1,699,234
Capital and net debts	1,173,954	1,488,239
Gearing ratio	NA	NA

22. Fair value of assets and liabilities**a) Fair value hierarchy**

The Company categorises fair value measurements using a fair value hierarchy that is dependent on the valuation inputs used as follows:

- Level 1 - Quoted prices (unadjusted) in active market for identical assets or liabilities that the Company can access at the measurement date,
- Level 2 - Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly, and
- Level 3 - Unobservable inputs for the asset or liability.

Fair value measurements that use inputs of different hierarchy levels are categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

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22. Fair value of assets and liabilities (continued)**b) Assets and liabilities not measured at fair value**

The carrying amounts of receivables, cash and cash equivalents and payables approximate their respective fair values due to the short term nature of these balances.

23. Financial risk management objectives and policies

The Company's activities expose it to a variety of financial risks from its operations. The key financial risks include credit risk, liquidity risk and foreign currency risk. The directors review and agree policies and procedures for the management of these risks. There has been no change to the Company's exposure to these financial risks or the manner in which it manages and measures the risk.

The following sections provide details regarding the Company's exposure to the above-mentioned financial risks and the objectives, policies and processes for the management of these risks.

a. Credit risk

Credit risk refers to the risk that the counterparty will default on its contractual obligations resulting in a loss to the Company. The Company's exposure to credit risk arises primarily from trade and other receivables and amount due from related parties. For other financial assets (including investment securities, cash and short-term deposits and derivatives), the Company minimise credit risk by dealing exclusively with high credit rating counterparties.

The Company's objective is to seek continual revenue growth while minimising losses incurred due to increased credit risk exposure. The Company trades only with recognized and creditworthy third parties. It is the Company's policy that all customers who wish to trade on credit terms are subject to credit verification procedures. The Company considers the probability of default upon initial recognition of asset and whether there has been a significant increase in credit risk on an ongoing basis throughout each reporting period.

Trade receivables and amount due from related parties

The Company assessed the latest performance and financial position of the counterparties, adjusted for the future outlook of the industry in which the counterparties operate in, and concluded that there has been no significant increase in the credit risk since the initial recognition of the financial assets. Accordingly, the Company measured the impairment loss allowance using 12-month ECL and determined that the ECL is insignificant.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2022***23. Financial risk management objectives and policies (continued)****b. Liquidity risk**

Liquidity risk refers to the risk that the Company will encounter difficulties in meeting its short-term obligations due to shortage of funds. The Company's exposure to liquidity risk arises primarily from mismatches of the maturities of financial assets and liabilities. It is managed by matching the payment and receipt cycles. The Company's objective is to maintain a balance between continuity of funding and flexibility through the use of stand-by credit facilities. The directors are satisfied that funds are available to finance the operations of the Company.

The table below summarises the maturity profile of the Company's financial assets and liabilities at the reporting date based on contractual undiscounted repayment obligations.

	One year or less S\$	One to five years S\$	More than five years S\$	Total S\$
2022				
Financial assets:				
Trade and other receivables	1,039,352	-	-	1,039,352
Amount due from related parties	131,340	-	-	131,340
Cash and cash equivalents	1,426,482	-	-	1,426,482
	<u>2,597,174</u>	-	-	<u>2,597,174</u>
Financial liabilities:				
Other payables	231,471	-	-	231,471
Gross amount due to customers for contract work-in-progress	5,219	-	-	5,219
Lease liability	11,252	-	-	11,252
Amount due to related parties	165,352	-	-	165,352
	<u>413,294</u>	-	-	<u>413,294</u>
Total net undiscounted financial assets	<u>2,183,880</u>	-	-	<u>2,183,880</u>

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	One year or less S\$	One to five years S\$	More than five years S\$	Total S\$
2021				
Financial assets:				
Trade and other receivables	1,189,946	-	-	1,189,946
Amount due from related parties	259,742	-	-	259,742
Cash and cash equivalents	956,445	-	-	956,445
	<u>2,406,133</u>	<u>-</u>	<u>-</u>	<u>2,406,133</u>
Financial liabilities:				
Other payables	137,477	-	-	137,477
Lease liability	21,638	11,252	-	32,890
Amount due to related parties	209,192	-	-	209,192
	<u>368,307</u>	<u>11,252</u>	<u>-</u>	<u>379,559</u>
Total net undiscounted financial assets/(liabilities)	<u>2,037,826</u>	<u>(11,252)</u>	<u>-</u>	<u>2,026,574</u>

c. Foreign exchange risk

The Company has various currency exposures arising from sales or purchases that are denominated in a currency other than the functional currency of the Company. The currency giving rise to this risk is primarily the United States Dollar, Malaysia Ringgit and Euro Dollar. The Company monitors its net exposure to these foreign currencies to ensure that it remains insignificant.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2022***23. Financial risk management objectives and policies (continued)****c. Foreign exchange risk (continued)**

The Company's currency exposure is as follows:

	<u>United States Dollar</u>	<u>Malaysia Ringgit</u>	<u>Euro Dollar</u>	<u>Singapore Dollar</u>	<u>Total</u>
2022					
Trade and other receivables	-	-	-	1,039,352	1,039,352
Cash and cash equivalents	-	-	-	1,426,482	1,426,482
Amount due from related parties	43,048	-	60,148	28,144	131,340
Other payables and accruals	(16,974)	-	-	(524,573)	(541,547)
Gross amount due to customers for contract work-in-progress	-	-	-	(5,219)	(5,219)
Lease liability	-	-	-	(11,252)	(11,252)
Amount due to related parties	(45,094)	(14,231)	-	(106,027)	(165,352)
	<u>(19,020)</u>	<u>(14,231)</u>	<u>60,148</u>	<u>1,846,907</u>	<u>1,873,804</u>
2021					
Trade and other receivables	-	-	-	1,189,946	1,189,946
Cash and cash equivalents	-	-	-	956,445	956,445
Amount due from related parties	88,665	-	68,068	103,009	259,742
Other payables and accruals	(23,066)	-	-	(480,302)	(503,368)
Lease liability	-	-	-	(32,890)	(32,890)
Amount due to related parties	(55,959)	(17,025)	-	(136,208)	(209,192)
	<u>9,640</u>	<u>(17,025)</u>	<u>68,068</u>	<u>1,600,000</u>	<u>1,660,683</u>

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2022*

23. Financial risk management objectives and policies (continued)**c. Foreign exchange risk (continued)****Sensitivity analysis for foreign currency risk**

The following table demonstrates the sensitivity to a reasonably possible change in the US dollar, Malaysia ringgit and Euro dollar (against SGD), with all other variables held constant, of the Company's profit after tax.

	2022 S\$	2021 S\$
US dollar		
- Strengthened 3% (2021: 3%)	474	240
- Weakened 3% (2021: 3%)	(474)	(240)
Malaysia ringgit		
- Strengthened 3% (2021: 3%)	(354)	(424)
- Weakened 3% (2021: 3%)	354	424
Euro dollar		
- Strengthened 3% (2021: 3%)	1,498	1,695
- Weakened 3% (2021: 3%)	(1,498)	(1,695)

24. Authorisation of financial statements

The financial statements for the year ended 31 March 2022 were authorised for issue in accordance with a resolution of the directors of **Mindteck Singapore Pte Ltd** on the date of Directors' Statement.